Bain Squared

Intangibles Value Advisory Report

The Fundraising Valuation Guide

Prepared for founders and finance leaders who are approaching a capital conversation and need to make intangible value visible, defensible, and usable in investor due diligence.

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Important notice: This report is general guidance based on assessment responses. It is not a valuation report, investment advice, legal advice, tax advice, or a commitment to support fundraising. Bain Squared does not guarantee funding, investor interest, valuation uplift, or transaction completion. Formal advice requires a separate engagement and review of source documentation.

Your Assessment Summary

Based on your responses, you are planning a fundraising conversation or bringing in new investors. Your business has intangible assets that a standard financial multiple will likely miss. To prevent unnecessary dilution, you must evidence this value before term sheets are drafted. This guide explains what institutional investors actually look for.

Section 01

Your business may be worth more than your financial statements show.

Most founders entering a fundraising round know their revenue, EBITDA, growth rate, and latest monthly performance. What they often do not know is that a meaningful portion of enterprise value may sit outside those numbers, in the brand, customer relationships, technology, data, intellectual property, contracts, and operating systems that make the business defensible.

Investors do not automatically give credit for that value. They give credit for what can be explained, evidenced, and defended in an investment committee memo. If the value exists but has not been documented, it is easy for investors to ignore it or discount it.

This guide explains how intangible assets can strengthen your valuation story, what institutional investors actually look for, and how to prepare a more defensible enterprise value narrative before you enter a fundraising process.

Section 02

Why does a single financial multiple miss part of the story?

When a founder says their business is worth 5 times revenue or 5 times EBITDA, they are using a financial multiple. That multiple is based on comparable companies, precedent transactions, market conditions, growth outlook, and investor risk appetite. It is a useful starting point, but it rarely captures the full picture.

A multiple is usually anchored in what appears in the income statement. That means it is strong at capturing visible financial performance, but weaker at capturing the assets that explain why the performance is durable. The distinction matters. Two businesses may have the same revenue and profit today, yet one may deserve a stronger valuation because its revenue is more repeatable, its brand has pricing power, its customers are harder to replace, or its technology reduces future operating cost. Intangible assets are the non physical assets that create economic advantage. They include brand, customer relationships, proprietary software, data, intellectual property, long term contracts, workflow systems, and technical know how. These assets are not abstract. They affect customer acquisition, retention, pricing, margin quality, and scalability.

The approach Bain Squared applies is a sum of parts valuation. The financial multiple captures the operating business. The intangible asset valuation captures the additional layer of value that sits above the financials and explains why the business may deserve a stronger enterprise value. A company valued at 2 times EBITDA on financial performance alone may support a higher valuation when brand, intellectual property, customer relationships, and technology are separately documented and valued.

> **Important Note**
> Investors do not dismiss intangible assets by default. They dismiss claims they cannot verify. Evidence gives the investor a basis to defend your valuation to their investment committee.

Section 03

What do institutional investors actually need to see?

Institutional investors do not dismiss intangible assets by default. In many cases, they are looking for them. Growth equity funds, strategic investors, family offices, and acquisition minded investors all care about the same underlying question. What makes this business harder to copy, easier to scale, and more likely to defend its economics over time?

The issue is not whether intangibles matter. The issue is whether the founder can prove them. A founder who says the business has a strong brand is making a claim. A founder who can show survey data, Net Promoter Scores, repeat purchase behavior, customer concentration, pricing premium, contract duration, and technology enabled cost savings is making a case.

This difference matters because investors need to justify decisions internally. A partner may believe the business has strong hidden value, but that belief still needs to survive investment committee review, due diligence, and documentation. Evidence gives the investor a basis to defend the valuation. Without it, the safer choice is to fall back to the lowest supportable multiple. Well prepared intangible asset evidence usually falls into the following categories.

Asset type	What investors want to see
Brand	Customer surveys, recognition data, NPS, pricing premium evidence
Customer relationships	Churn, repeat purchase data, customer concentration, tenure, cohort behavior
Recurring revenue	Contracts, renewals, usage data, committed revenue, collection history

Software and technology	Technical documentation, user metrics, workflow savings, replacement cost
IP and trademarks	Registration documents, licensing terms, usage evidence, ownership records
Contracts	Signed agreements, term length, value, renewal rights, customer quality

Section 04

What is your specific opportunity before fundraising?

When founders enter a fundraising process prepared, the conversation changes. The investor sees a valuation report that separates the financial component from the intangible asset component. The value bridge is visible, and the total enterprise value is substantiated, not asserted.

Without Preparation	With Preparation
Investor anchors on the financial multiple. Founder argues the business is worth more but cannot produce evidence.	Investor sees a formal valuation report separating financial and intangibles components. Each asset is documented with supporting evidence.
Investor uses conservative assumptions. Founder accepts a lower number or loses the deal.	Investor has a basis to accept the higher number and a document to justify it internally to their investment committee.

Section 05

What does Bain Squared review before scoping the work?

Bain Squared does not start by forcing every company into a valuation engagement. The first step is to determine whether the intangible asset case is strong enough to justify formal work. Some businesses have valuable assets but limited evidence. Others have evidence, but the asset may not be material enough to influence the fundraising narrative. The scoping process separates signal from noise.

The review typically looks at five areas. First, whether the asset is clearly identifiable. Second, whether ownership is documented. Third, whether the asset affects revenue, margin, retention, risk, or strategic control. Fourth, whether the evidence is strong enough for investor review. Fifth, whether the valuation output will be used in a real decision, such as fundraising, M&A, licensing, ESOP planning, or board reporting.

For fundraising situations, the most useful output is usually not a standalone number. It is a valuation narrative that connects financial performance, intangible asset evidence, and investor diligence logic. That is the bridge between what the founder believes and what an institutional investor can underwrite.

Scoping question	Why it matters
Can the asset be clearly identified and described?	A vague asset cannot be valued with confidence.
Is ownership documented?	Investors and auditors need to know who controls the asset.
Does the asset influence revenue, margin, retention, cost, or risk?	The valuation needs an economic link, not just a story.

Is there supporting evidence?	The stronger the evidence, the stronger the valuation narrative.
Will the output be used in a real decision?	Formal valuation work is most valuable when tied to a transaction, board process, or compliance need.
Contracts	Signed agreements, term length, value, renewal rights, customer quality

Section 06

What should you do next?

Step 1	**Map your intangible assets.** List the assets your business has built that do not show up clearly in your financial statements. Focus on brand, customer base, technology, contracts, data, IP, and repeatable operating systems. Be specific. A named asset is easier to evaluate than a broad claim.
Step 2	**Gather your evidence.** Pull together existing documentation. This may include customer data, contracts, renewal history, technical documents, brand materials, registration records, usage metrics, board materials, and product documentation. The evidence does not need to be perfect before the first call. It needs to be visible enough for proper scoping.

Step 3	**Decide whether timing matters.** If you are speaking to investors within the next 3 to 6 months, valuation preparation should be treated as urgent. If your fundraising process is further away, the work can be staged, starting with an asset map and evidence gap review before moving into formal valuation.

Section 07

Ready to build a stronger valuation story?

If you are preparing for fundraising, M&A, board reporting, ESOP planning, or any situation where enterprise value needs to be explained with more discipline than a simple multiple. We will walk through your business, identify the intangible assets worth reviewing, and give you a clear view of whether a sum of parts valuation could strengthen your investor or board narrative.

Book a call with Bain Squared here.